

Chapter :06:Theory of Production in islam.

Outline: Definition of Production and Islamic production, Factors of production, Production function with graph, Objectives of Production. Characteristics of an islamic firm,Differences between Islamic firms and Non Islamic firms,Understanding of the concept of profit and profit share in islam.Advertising in islam.

❖ Definition of Production

Production in economics refers to the process of transforming inputs (factors of production: land, labor, capital, and entrepreneurship) into goods and services that have value and can satisfy human wants.

Economic Focus: Maximizing output, efficiency, and profit using available resources.

Example: A factory uses labor, machinery, and raw materials to produce shoes that are sold in the market.

❖ Production in Islam

Production in Islam is the process of creating goods and services to meet human needs while adhering to Shariah principles, ensuring that economic activities:

- ❖ Generate halal income (permissible profit).
- ❖ Promote social welfare and avoid harm to people or the environment.
- ❖ Use resources efficiently as they are considered trusts (Amanah) from Allah.
- ❖ Avoid exploitation and injustice in labor and trade.
- ❖ Balance between profit and social responsibility, ethical resource use, and equitable distribution.

Example: A halal food factory produces goods for profit but ensures fair wages, no harmful practices, and uses lawful (halal) inputs.

❁ Factors of Production

Factors of production are the resources used by a company to produce goods and services. The universally recognized factors of production include land, labor, and capital. Some scholars include enterprise - entrepreneurship - as a fourth factor, while many argue that it should fall under labor.

Types of Factors and Examples

1.Land: Land is often an essential factor of production in many economic activities. In fact, if you really think about it, it's impossible to do anything without land - where else are you going to place your factory, grow your crops, mine your minerals, drill for oil, or even stand to provide a service to a customer? Keep in mind that land includes not just the dirt, but also the natural resources on it or in it, such as trees, water, precious metals, minerals, and fossil fuels.

2.Labor: The second factor of production is labor. Labor is the effort that people contribute to the production of goods and services. Labor resources include the work done by the waiter who brings your food at a local restaurant as well as the engineer who designed the bus that transports you to school. It includes an artist's creation of a painting as well as the work of the pilot flying the airplane overhead. If you have ever been paid for a job, you have contributed labor resources to the production of goods or services. The income earned by labor resources is called wages and is the largest source of income for most people.

3.Capital: The third factor of production is capital. Think of capital as the machinery, tools and buildings humans use to produce goods and services. Some common examples of capital include hammers, forklifts, conveyer belts, computers, and delivery vans. Capital differs based on the worker and the type of work being done. For example, a doctor may use a stethoscope and an examination room to provide medical services. Your teacher may use textbooks, desks, and a whiteboard to produce education services. The income earned by owners of capital resources is interest.

4.Entrepreneurship: The fourth factor of production is entrepreneurship. An entrepreneur is a person who combines the other factors of production - land, labor, and capital - to earn a profit.

The most successful entrepreneurs are innovators who find new ways produce goods and services or who develop new goods and services to bring to market. Without the entrepreneur combining land, labor, and capital in new ways, many of the innovations we see around us would not exist.

Think of the entrepreneurship of Henry Ford or Bill Gates. Entrepreneurs are a vital engine of economic growth helping to build some of the largest firms in the world as well as some of the small businesses in your neighborhood. Entrepreneurs thrive in economies where they have the freedom to start businesses and buy resources freely.

❁Objectives of Production in Islam

In Islam, production is not merely for profit — it is an act of worship (ibadah) if done with honest intention and within the limits of Shariah. The Qur'an guides Muslims to produce goods and services that benefit humanity, ensure justice, and avoid harm.

1. Fulfillment of Human Needs

The primary goal of production is to meet the genuine needs of people and ensure their well-being.

Qur'anic Reference:

“And He has subjected to you whatever is in the heavens and whatever is on the earth, all from Him.”

— Surah Al-Jathiyah (45:13)

► This verse shows that Allah has provided resources for human benefit, encouraging lawful production and use.

2. Earning Halal (Lawful) Income

Production should aim to earn lawful income through permissible activities and honest trade.

Qur'anic Reference:

“O you who believe! Eat not up your property among yourselves unjustly, except it be a trade amongst you, by mutual consent.”

— Surah An-Nisa (4:29)

► Islam forbids illegal or exploitative production and supports fair trade.

3. Social Welfare and Justice

Production should ensure social balance, help the poor, and prevent exploitation.

Qur'anic Reference:

“And in their wealth there is a recognized right for the needy and the poor.”

— Surah Adh-Dhariyat (51:19)

► This promotes sharing wealth generated from production with those in need.

4. Avoidance of Waste (Israf)

Islam encourages efficient use of resources and forbids wastefulness.

Qur'anic Reference:

“Indeed, the wasteful are brothers of the devils, and ever has Satan been to his Lord ungrateful.”

— Surah Al-Isra (17:27)

- Production should be responsible, avoiding overconsumption and environmental harm.

5. Protection of the Environment

Production must not damage the earth or its natural balance.

Qur'anic Reference:

“And do not cause corruption upon the earth after its reformation.”

— Surah Al-A'raf (7:56)

- Producers must protect the environment and use resources sustainably.

6. Justice in Dealings

All production and business activities must be based on truth and fairness.

Qur'anic Reference:

“And give full measure and weight in justice.”

— Surah Al-An'am (6:152)

- Islam condemns cheating, fraud, and exploitation in production or trade.

7. Accountability to Allah

Production is a moral responsibility — producers are accountable to Allah for how they use resources.

Qur'anic Reference:

“Then you will surely be asked that Day about pleasure.”

— Surah At-Takathur (102:8)

- This reminds producers that all blessings and resources will be questioned in the Hereafter.

◆ Production Function

A production function shows the relationship between inputs and output in the production process.

It explains how different quantities of inputs (like labor and capital) produce different levels of output.

◆ Definition:

The production function expresses the maximum output that can be produced from a given set of inputs with available technology.

Mathematically:

$$Q = f(L, K)$$

Q= Quantity of output

L= Labor input

K= Capital input

f= Functional relationship between inputs and output

◆ Types of Production Function:

◆ Short-run production function:

Only one factor (like labor) is variable; others are fixed.

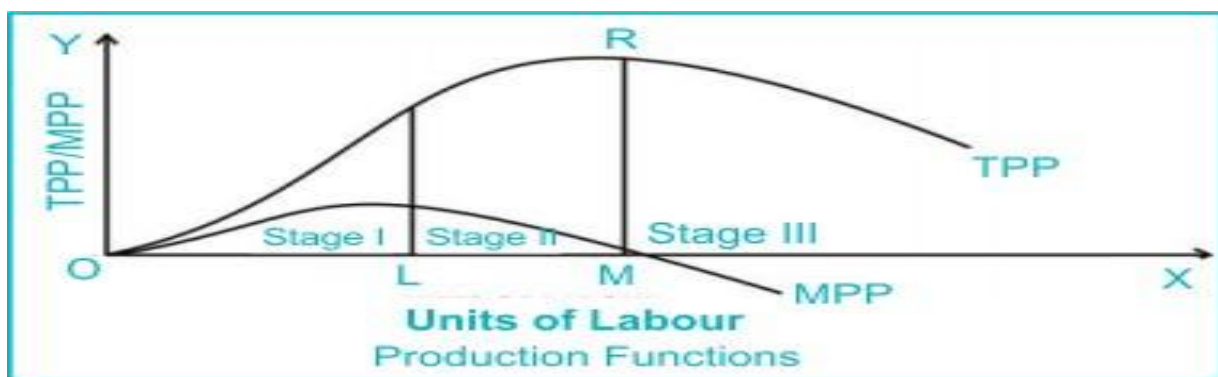
Example: $Q = f(L)$

◆ Long-run production function:

All inputs are variable.

Example: $Q = f(K, L)$

✔ Graph of Production Function:



The curve first rises rapidly (Stage I),

then slows down (Stage II),

and finally declines (Stage III).

This is known as " Law of Variable Proportions (Short-run Conceptand

"When one input (say labor) increases while others remain constant, output changes in three stages:

Stage I : (Increasing returns) =Total product (TP) rises rapidly

Stage II :(Diminishing returns)=TP rises slowly; marginal product (MP) falls

Stage III :(Negative returns)=TP declines; MP becomes negative.

❁Definition of conventional Firm and Islamic Firm:

Conventional Firm:

A firm is a business organization that produces goods or provides services to earn profit.

A firm combines land, labor, capital, and entrepreneurship to produce goods or services.

Its main goal is to maximize profit or achieve other objectives like growth, social welfare, or market stability.

Examples include factories, shops, banks, or companies that operate in different industries.

So, A firm is an economic unit that produces, distributes, and sells goods or services to satisfy consumer needs and earn profit.

Islamic firm:

An Islamic firm is a business organization that operates according to Islamic (Shariah) principles in all its activities.

Its main objective is not only profit-making but also to achieve social justice, fairness, and welfare of society.

Investment and financing are based on profit-loss sharing systems such as Mudarabah and Musharakah, not interest-based loans.

It avoids dealing with haram industries, such as alcohol, pork, or gambling.

So, An Islamic firm is a Shariah-compliant business that aims for lawful profit, ethical conduct, and social welfare, while avoiding interest and prohibited activities.

❖Characteristics of an Islamic Firm

An Islamic firm operates according to the principles of Shariah (Islamic Law). Its main goal is not just profit, but also social justice, fairness, and ethical conduct. The firm ensures that all its activities are Halal (permissible) and contribute to the welfare of society.

❖ Main Characteristics of an Islamic Firm

1. Halal Profit Maximization:

The firm aims to earn maximum profit through lawful (Halal) activities.

Profit is acceptable only when earned by producing real goods or services, without deception or exploitation.

Islam encourages efficiency and productivity, but profit must not violate moral or social limits.

Profit is the reward for risk-taking and entrepreneurship, not from interest (Riba) or speculative activities.

2. Sales Maximization (Ethical Expansion):

The firm may strive to maximize sales to reach more customers and promote Halal products.

Must avoid false advertising, price manipulation, or unethical competition.

High sales should help in achieving consumer satisfaction and social welfare, not just market dominance.

3. Satisfying Behaviour (Balanced Decision-Making):

Instead of always maximizing profit, an Islamic firm often shows “satisfying behaviour” — aiming for a reasonable or sufficient level of profit while maintaining Islamic ethics.

The firm seeks a balance between material gain and moral values.

It tries to satisfy stakeholders (owners, employees, customers, and society) fairly rather than pursuing extreme profit.

This ensures economic stability, social harmony, and long-term sustainability.

4. Prohibition of Interest (Riba) :

Interest-based transactions are strictly forbidden.

Uses profit-loss sharing modes such as Mudarabah and Musharakah instead.

5. Ethical and Fair Conduct :

Business must be conducted with honesty, transparency, and justice.

Fraud, hoarding, and exploitation are prohibited.

6. Social Welfare Orientation :

Firms are responsible for social welfare through Zakat, fair wages, and ethical practices.

Ensures equitable distribution of wealth and poverty reduction.

7. Production of Halal Goods and Services :

Only permissible (Halal) products can be produced and sold.

Avoids products related to alcohol, gambling, pork, or immorality.

8. Accountability to Allah (SWT) :

Every action is guided by moral and spiritual accountability.

The firm operates with the consciousness that it must answer to Allah for its Conduct.

Differences between Islamic Firms and Non-Islamic Firms

Islamic Firms

1) Seeks **balanced objectives**: profit maximization, ethical conduct, and social welfare; economic activities guided by **utility and social justice**.

2) **Resources are allocated** based on ethical, productive, and socially responsible criteria; investment in harmful or prohibited sectors (haram) is avoided.

3) **Production is Shariah-compliant**, balancing efficiency with ethical and social considerations; avoids exploitation of labor or environment.

4) **Financing uses equity-based methods** (Mudarabah, Musharakah), avoiding interest (Riba); promotes risk-sharing and asset-backed investment.

5) **Profits and losses are shared** among investors and entrepreneurs, promoting economic justice and reducing inequality.

6) Encourages **ethical competition**, transparency, and fair pricing; hoarding, speculation (Gharar), and monopoly are prohibited.

7) Firms actively contribute to **social welfare** through Zakat, charity, and ethical investments; promotes wealth redistribution.

8) Promotes **long-term stability** and sustainable growth; avoids speculative bubbles, excessive debt, and interest-based financing.

Non-Islamic Firms

Primary objective is **profit maximization**; social welfare is secondary unless regulated or voluntary.

Resources are allocated primarily to profit-generating ventures; ethical constraints are minimal unless legally required.

Production focuses on maximum efficiency and cost minimization to maximize profits, sometimes without ethical constraints.

Financing often relies on debt and interest; risk is usually borne by creditors rather than shared with investors.

Profits go primarily to shareholders; risk is often transferred to debt holders or employees, potentially increasing inequality.

Focuses on **profit-oriented competition**; practices like price manipulation or speculative trading are permitted if legal.

Social contribution is usually **voluntary or regulatory-driven**; benefits mostly accrue to owners or shareholders.

Can prioritize **short-term gains**, sometimes leading to economic volatility, financial crises, or over-leveraging.

Islamic Firms

9) Investment decisions are guided by **Shariah-compliance and ethics**, balancing profitability with social responsibility.

Non-Islamic Firms

Investment decisions are guided mainly by **expected financial returns**, sometimes ignoring social or environmental impact.

❖ **Concept of profit and profit share in islam**

❁ **Concept of Profit in Islam**

1. Profit as a Halal Reward :

In Islam, profit is considered a lawful return for taking business risk and making productive efforts.

Islam permits earning profit as long as it is through halal (lawful) means and without injustice.

2. Profit Must Come From Real Economic Activity

Profit must be generated through activities that create value, such as trade, production, or services.

Profit earned from haram items (alcohol, gambling, pork, interest-based activities) is strictly prohibited.

3. Prohibition of Interest (Riba)

❖ “Allah has permitted trade and forbidden riba.” (Surah Al-Baqarah 2:275)

This is the most famous verse clearly distinguishing halal trade from haram interest. Islam differentiates profit from interest.

Profit is earned by taking business risk;

Interest (riba) guarantees return without any risk.

“O you who believe! Fear Allah and give up whatever remains of riba...

If you do not do so, then be informed of a war from Allah and His Messenger.” (Surah Al-Baqarah 2:278–279)

This is the strongest warning in the Qur'an — taking interest is like declaring war against Allah and His Messenger (ﷺ).

Therefore, profit is halal, but interest is haram.

4. Fair Pricing and Ethical Conduct

Charging excessively high or exploitative prices is discouraged.

Profit must be fair, just, and ethical.

❁Concept of Profit Sharing in Islam

Islamic economics encourages risk-sharing, not risk-shifting. Profit sharing is widely used in Islamic finance and business partnerships.

1. Mudarabah (Profit-Sharing Partnership)

One party provides capital (Rab-ul-Mal).

The other party provides effort/management (Mudarib).

Profit is shared based on a pre-agreed ratio (ex: 60:40).

Loss is borne only by the capital provider, unless it is due to negligence or misconduct of the manager

2. Musharakah (Joint Partnership)

All partners contribute capital.

All partners share profit based on an agreed ratio.

Loss is shared according to capital contribution.

.Encourages mutual risk-taking and cooperation.

3. Fair and Transparent Agreements

Profit-sharing ratios must be agreed before starting the business.

Ratios cannot be fixed in absolute numbers (e.g., “I get 10,000 taka”)—
it must be percentage-based.

4. Profit Sharing Encourages Justice

Ensures both parties share risk and reward.

Prevents exploitation of workers or investors.

Supports equitable distribution of wealth.

So, Profit in Islam is a reward for effort and risk in lawful activities, and profit-sharing ensures equitable distribution based on contribution while avoiding interest and exploitation.

❁Concept of Advertising in Islam

(Is Advertising permissible in Islam ?)

Advertising is a way to inform consumers about products or services.

Advertising has evolved into an industry that plays a dominant role in creating demand for goods and services. It helps producers overcome the fear that new products may not have a market.

Drawbacks: Under the free market system, advertisement often becomes too glamorous, wasteful, and aggressive.

Misrepresentation: Contents are often imprecise and untrue; advertisements may conceal harmful or negative aspects of products.

Market Barrier: This creates an artificial barrier to entry in the commodity market.

Cost Burden: Producers pay a high price for advertising, and this whole expenditure is shifted onto the shoulder of the consumers, who are thus forced to finance it without their consent.

Islamic View on Advertising:

Advertising is neither condemned nor accepted in a very high esteem in Islam.

Prohibited: Aggressive advertisement meant to manipulate product demand is against Islamic principles.

Permitted: Informative advertising intended for educating the customers is within Islamic norms. New products and techniques have been introduced through advertising.

Basic Principles of Islamic Advertising

1. Truthfulness and Integrity (First Principle):

◆ Information must not resort to false oaths, incorrect weights, or measures, which creates 'bad will' in business.

◆ It must contain hard and cold facts about the product.

◆ Sellers must inform the buyer about the negative aspects of the product (Muslim).

This principle is rooted in the Quran (Al-Mutaffifin 83:2–7), which condemns those who give short measure.

2. Fairness and Market Access (Secondly):

◆ Islam does not allow advertisement that leads to artificial barriers to entry.

◆ It must not help earn abnormal profit at the cost of the masses.

3. Education and Market Information (Thirdly):

◆ Expenditure should be directed to educate both customers and producers.

◆ This is done by supplying correct market information about the quantity, price, and quality of goods and services.

. In an Islamic economy, advertising can, if properly handled, increase the volume of sales up to an acceptable level of profit

Advertising in Islam is permissible if truthful, ethical, and moderate. It should inform and guide consumers without deception, manipulation, or promotion of prohibited products.

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